

much an art as it is a science. “Valuation depends on how we see the future. Many internal and external factors within the company influence it,” says Gaurav V.K. Singhvi, Co-founder and CEO of WeFounder Circle, a community-based investment platform. He adds that many times, with companies that are at an early or growth stage, adequate data may not be available. In such cases, investors often rely on future performance and forecast numbers to arrive at a suitable valuation. There are several methods, a mix of which investors use to determine the value of a company. (See chart *The Valuation Game*.)

Agrees Anuj Bhargava, MD of venture capital firm Lightspeed. He says, the method used by investors also depends on the size and scale at which a company is operating. “The more evolved a company is, the more information you have about its metrics, and you can evaluate the company better.” What makes valuations interesting, and tricky at the same time, is the fact that the concept is extremely subjective. “What may be valuable to one person may not be valuable to another,” says Sahil Kanuga, Co-head of International Dispute Resolution & Investigations Practice at law firm Nishith Desai Associates.

102 |

OVER THE PAST few months, several start-ups have seen their valuations being slashed. For instance, the US-based investment management firm Neuberger Berman marked down the valuations of two of its Indian portfolio companies—Pine Labs and PharmEasy. In its latest regulatory filings, the mutual fund house has reduced the fair values of API Holdings—that operates PharmEasy—and Pine Labs by 21.6 per cent and 39 per cent, respectively, to \$4.3 billion and \$3.1 billion.

Further, investment management firm Invesco also slashed the valuation of Swiggy to \$5.5 billion from \$8 billion in May this year, after it had cut the company's valuation to \$8 billion from \$10.7 billion in January 2022.

Even travel-tech platform OYO, which has been gearing up for an IPO for some time now, saw its valuation drop to \$2.7 billion—after key investor SoftBank reduced the value of its stake in it—from the initial \$10 billion valuation it had achieved in 2019. Again, there haven't been any down rounds. But does this mean that start-ups are not living up to investors' expectations? Partly yes.

Valuations of venture capital (VC) investments are closely tied to the prevailing market dynamics, says Bhargava, whose VC firm Lightspeed is an investor in Oravel Stays—the company that operates OYO. Further, Kanuga says the growth of a company is directly proportional to the increase in its valuation. “There [could be] a time when its performance may not be good,



THE VALUATION GAME

FACTORS THAT CAN RAISE THE VALUATION OF A START-UP

- INVESTORS' EXIT STRATEGY
- ASSET TYPE
- FUTURE PERFORMANCE
- CASH FLOWS
- FINANCIAL LEVERAGE
- EXPECTED FINANCIAL RETURNS

FACTORS THAT CAN HIT THE VALUATION OF A START-UP

- SECTOR DEMAND
- QUALITY OF STAFF
- CUSTOMER LOYALTY
- ONLINE PRESENCE
- STRENGTH OF BRAND
- SUPPLIERS

SOURCE: DEAL ROOM BY M&A SCIENCE

that's when the valuation goes down,” he notes.

Experts also point out that valuations are slashed when start-ups find it difficult to raise funds. “Suppose X fund has invested in a company at a valuation of \$100 million but the new investors are not accepting this valuation. The new funds believe the valuation of the company should be no more than \$50 million. In such cases, the existing investors have to go back to the market and say ‘We are valuing the company at \$50 million’,” says Singhvi, adding that VCs also have to inform their LPs or limited partners about the value of their investments.

Of course, such dynamics are bad news for start-ups